

CAPITAL MARKETS

Affinius Refi Shows Grocery-Anchored Retail Still Commands Debt at a Price

A \$35M loan for a nearly full mixed-use asset reveals where private credit is willing to lend and why.

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Howard Hughes Communities just refinanced a nearly 200,000-square-foot mixed-use asset near Houston with a \$35 million loan from Affinius Capital. The headline is straightforward. The signal is not.

The deal matters because it shows where private credit is willing to deploy capital in mid-2026: stabilized assets, grocery-anchored retail, and sponsors with balance-sheet credibility. Affinius is not making a macro bet on Texas office or suburban retail broadly. It is underwriting a specific income stream, a specific tenant roster, and a specific basis.

Village Green at Bridgeland Central sits on 23 acres in Cypress, roughly 25 miles northwest of downtown Houston. The asset opened in 2024 and is nearly fully leased. The retail component spans 149,000 square feet with H-E-B as the anchor. The office piece is 49,000 square feet of Class A space. The property is owned by Howard Hughes Communities, the development arm of Howard Hughes Holdings.

JLLs Colby Mueck, Kelly Layne, Jack Britton, and Scot Sarlin arranged the transaction. Costa Kontoulis, managing director at Affinius Capital, noted in a statement that the asset has attracted high-quality tenants in both its office and retail components and that the financing extends Affinius relationship with Howard Hughes.

The loan amount is \$35 million against a 198,000-square-foot asset. That works out to roughly \$177 per square foot. For context, that is a conservative loan-to-value ratio if the asset is valued anywhere near replacement cost for a 2024-vintage mixed-use development in suburban Houston. The debt yield is likely comfortable. The structure is not aggressive.

That conservatism is the point. Affinius is not chasing yield. It is buying a relationship with a well-capitalized sponsor and securing a first-lien position on an asset with a credit tenant, a grocery anchor, and a short lease-up history that has already reached near-full occupancy. The office component is small enough that a vacancy shock would not break the deal. The

This is the kind of transaction that appears when private credit lenders have raised capital and need to deploy it, but remain cautious about the broader economy. Affinius is not alone. Other private lenders are making similar moves: writing loans on stabilized grocery-anchored retail, often with a small office or multifamily component, at conservative leverage, to sponsors they already know.

The constraint that changed here is not the borrowers. Howard Hughes could likely have obtained agency or bank financing for a grocery-anchored retail asset. The constraint is the lenders willingness to underwrite the office component. Many banks and agencies remain skittish about any office exposure, even a 49,000-square-foot Class A building in a growing suburb. Private credit does not have the same regulatory or rating-agency constraints. It can underwrite the office piece on its own terms, at a price.

That price is not disclosed, but it is almost certainly higher than what a bank or agency would have charged for the retail piece alone. The blended rate reflects the office risk. The borrower is paying for the optionality of a single loan structure rather than splitting the capital stack.

The deal also reveals something about Howard Hughes strategy. The company is not selling. It is refinancing. That suggests management sees value in holding the asset through the current rate environment rather than taking a basis reset. The loan buys time. It also buys optionality: if rates decline or the office market improves, Howard Hughes can refinance again or sell into a stronger bid.

For other owners of mixed-use assets with an office component, the takeaway is specific. Private credit is available, but it is not cheap. The lender will underwrite the whole asset, but only if the retail anchor is strong, the sponsor is credible, and the basis is defensible. If any of those three conditions is weak, the loan does not happen.

For lenders, the deal is a template. Grocery-anchored retail with a small office component is a

niche where private credit can compete effectively against banks and agencies. The office piece creates a pricing premium that banks cannot capture and agencies will not touch. The grocery anchor provides cash-flow stability. The sponsor relationship reduces underwriting cost.

The open question is how many such assets exist. Most mixed-use developments built in the last cycle have larger office components or weaker retail anchors. The pool of deals that look like Village Green is limited. Affinius is not proving that mixed-use lending is back. It is proving that a narrow subset of mixed-use assets can still command debt at a price.

The next test for the market is whether other private lenders follow the same playbook or whether this remains a relationship-driven exception. If more deals of this structure appear, it will signal that private credit has found a new lending lane. If this remains an outlier, it will confirm that the office stigma is still too heavy for most lenders to carry.

For now, the deal is a reminder that capital is not frozen. It is concentrating around assets with defensible cash flow, sponsors with balance-sheet credibility, and debt structures that can survive another year of expensive money. Affinius is not betting on the cycle. It is betting on the structure.